A1 INVESTMENTS

2026

Development Delivery & Funding Strategy

CEO & Board Discussion
EPC vs Owner-Led Model

Dubai Residential (Sell to Public)

Project Snapshot

Land acquisition

AED
15 - 20m

Residential development

units

sold to general public

Family office

sponsor

with external investor

Objective maximise

IRR

while remaining RERA
& investor compliant

Establish strong

market

presence whilst
building a reputation as
a trusted developer

Key Strategic Decision

Option A

Should we deliver via a

Full EPC

while remaining RERA
& investor compliant

Option B

Retain control

Using a PMC

PMC + main contractor model

What Full EPC Actually Delivers

Single entity responsible for engineering, procurement & construction

Fixed price with risk premium embedded

Limited cost transparency

Lower owner involvement, lower flexibility

Why Full EPC Is Not Optimal

(AED 15 - 20m Land)

EPC margin & risk premium

+8 -12%

of cost

On a ~AED 60m build

AED 6 - 9m

of margin leakage

Direct negative impact

IRR

(4 - 7% reduction typical)

EPC optimises

contractor risk

not sales pricing or asset value

Recommended Delivery Model

Owner-led development with professional PMC

Fixed-price main contractor (lump sum)

Owner retains control over design, procurement & value engineering

Widely accepted model in the UAE

Role of PMC

(Project Management Consultant)

Acts as owner's representative (not a contractor)

Manages programme, cost, consultants & contractors

Certifies progress for escrow & investors

Provides governance without margin stacking

Funding & Risk Alignment

Land funded by family (via shareholder loan to SPV)

Construction funded by investor
+ escrowed sales proceeds

PMC + main contractor structure keeps
risks transparent

Avoids EPC variation claims & hidden contingencies

When We Would Reconsider EPC

Highly complex or specialised asset
(hospital, data centre)

Extremely tight delivery timeline where
speed outweighs cost

Weak owner-side capability or inability
to appoint strong PMC

Safeguarding substantial capital allocations
to minimise downside risk and ensure
returns remain in line with market
IRR benchmarks.

Prioritising scale and repeatable project
volume over individual capital deployment,
enabling consistent deal flow and long-term
platform growth.

Board Recommendation

Do NOT

Look to potentially leverage EPC Model
in subsequent developments

Proceed with PMC-led,
owner-controlled delivery model

Focus on cost transparency, speed,
and sales optimisation

This structure best supports IRR
maximisation and investor confidence

Thank You

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